Mitek Systems (MITK)
Identity Is Working, the Price Knows It

Analyst: Justin Wen

The mix shift from legacy Mobile Deposit to Fraud & Identity is real and accelerating, but at **$15.86** the market prices most of our base case. We update coverage with a **Hold** and a **$17.21** blended target (25/50/25): fairly valued, with the upside living in bull-case execution.

Hold	$17.21	$15.86	$20.78
RATING	BLENDED TARGET (25/50/25)	CURRENT PRICE	BULL-CASE TARGET

$195-200M	$105-109M	40.7%	~$50M	0.98	48.6M
FY2026 REVENUE GUIDE (RAISED)	FRAUD & IDENTITY FY26 GUIDE	ADJ. EBITDA MARGIN, Q2 RECORD	NET CASH	EQUITY BETA	DILUTED SHARES

Executive summary

Mitek Systems holds a near-monopoly in mobile check deposit across the U.S. banking system and is using that entrenched distribution across 7,000+ institutions to cross-sell Fraud & Identity verification into a large and growing TAM. The third quarter of fiscal 2026 confirmed the thesis is working: $54.0M of revenue (+18% YoY), SaaS revenue of $26.2M (+36%), adjusted EBITDA of $20.8M at a 38.5% margin, and a second guidance raise to $195-200M of revenue with 32-34% adjusted EBITDA margins. Fraud & Identity is now guided to $105-109M, roughly 19% growth and over 54% of total revenue.

Our read: the business is executing and the mix shift mathematically accelerates consolidated growth as Identity outruns the legacy deposit franchise. But the repricing has already happened, and our reverse DCF shows the market prices a 7.9% five-year revenue CAGR, squarely between our Bear (5%) and Base (9%) cases. At $15.86 there is no margin of safety on the base case; the meaningful upside lives in the Bull case ($20.78, +31%), which requires Identity to sustain a 12% consolidated CAGR with margins expanding toward mature B2B software levels.

> **The mix shift does the math for us.** When Identity compounds near 28-30% while the legacy Check franchise declines, consolidated growth accelerates automatically as the mix tips. Identity is now the majority of revenue, so the tailwind is compounding, but it also means the legacy drag is no longer hiding behind the headline: Check fell 8% in Q2 and gross margins compressed 270 bps.

Bear: $14.09

Check volumes decline faster than expected, Identity faces pricing pressure, and margins stall near current levels. Revenue grows 5% annually, FCF margins flat around 23%, terminal growth 2.0%. About 11% below spot.

Base: $16.98

Identity compounds near the high teens, the legacy franchise fades gradually, and margins expand toward 30%+ FCF. Revenue grows 9% annually to $279M, terminal growth 2.5%. About 7% above spot.

Bull: $20.78

Check Fraud Defender consortium scales as a top-five U.S. bank joins the full network, Identity sustains high-teens growth, and operating leverage drives FCF margins toward mature B2B software levels. Revenue compounds 12% to $311M. About 31% above spot.

Valuation: three-scenario DCF

We value MITK on a five-year discounted cash flow from the FY2026 guide midpoint, applying each scenario's revenue CAGR and target free cash flow margin with a Gordon-growth terminal value. The discount rate is a dynamic live CAPM, about 9.9%, applied across all three scenarios. Net cash of roughly $50M ($49.4M term loan against $99.7M of cash and short-term investments) and 48.6M diluted shares bridge enterprise value to the per-share targets.

ASSUMPTION	BEAR	BASE	BULL
5-yr revenue CAGR, FY2026-30	5.0%	9.0%	12.0%
2030 revenue	$240M	$279M	$311M
2030 free cash flow	$55.2M	$65.9M	$78.7M
Terminal growth rate	2.0%	2.5%	3.0%
Discount rate (live CAPM)	~9.9%	~9.9%	~9.9%
Net cash	~$50M	~$50M	~$50M
Diluted shares	48.6M	48.6M	48.6M
Implied share price	**$14.09**	**$16.98**	**$20.78**

What the price implies

At $15.86, the market sits between our $14.09 Bear and $16.98 Base targets. Our reverse DCF implies the market is pricing a 7.9% five-year revenue CAGR at a flat base-case FCF margin: it believes the Identity engine is real but refuses to pay for the full Base case, let alone the Bull. That leaves $17.21 of blended value, about 8.5% above the current price, with the distribution skewed: most of the upside to our $20.78 Bull requires consortium network effects and margin proof we have not seen yet.

We stay Hold rather than Sell because the franchise economics are genuinely unusual. A near-monopoly in mobile check deposit with prohibitive switching costs is funding a 28-30% growth engine, the balance sheet is de-risked ($155M of converts retired, $50M of net cash), and the company is a credible takeout candidate for any identity-platform buyer. At 7% above our Base case the stock is fairly valued, not cheap, and within our plus-or-minus 10% Hold band around base case it would be an error to press a short against accelerating execution.

Blended target (25/50/25)	**$17.21**
Spot, Oct 14, 2026	**$15.86**
Upside to blended	**+8.5%**
Live WACC	**~9.9%**
WACC construction	**Spot 10Y + 0.98 beta x implied ERP + 1.5% size premium**
Implied market 5-yr CAGR	**7.9%**
Q4 FY2026 revenue guide	**$42-47M**
Q4 FY2026 results	**Expected ~Nov 2026**

Method. Five-year DCF off the FY2026 guide midpoint; scenario FCF margins applied to revenue with a Gordon terminal on year-5 FCF. Discount rate is dynamic live CAPM, ~9.9% (spot 10Y + 0.98 beta x market-implied ERP + 1.5% micro-cap size premium), applied across scenarios. Net cash ~$50M; 48.6M diluted shares. Reverse DCF holds the base-case FCF margin flat and interpolates the 5-yr revenue CAGR implied by the spot price. Not investment advice and for entertainment purposes only.

Earnings momentum deep dive

Mitek's last four reported quarters tell a clean story of a pivot crossing the halfway mark. The Fraud & Identity engine has compounded at 28-30% while the legacy Check franchise has shrunk, the balance sheet has been de-risked with the full retirement of the $155M converts, and adjusted EBITDA margins have stepped from the high 20s to above 40%. Guidance has been raised in each of the last three quarters.

QUARTER	REVENUE	FRAUD & IDENTITY	ADJ. EBITDA MARGIN	SIGNAL
Q3 FY2025	$45.7M (+2%)	SaaS $19.3M (+23%)	n/a	Guidance midpoints raised
Q4 FY2025	$179.7M FY (+4%)	SaaS +21% FY	28.7% (Q4)	Margin compression on 36% R&D spike
Q1 FY2026	$44.2M (+19%)	$25.5M (+30%)	30.0%	GAAP profitable again; converts retired
Q2 FY2026	$54.8M (+6%)	$25.7M (+28%)	40.7%	Record revenue and record margin
Q3 FY2026	$54.0M (+18%)	$26.2M SaaS (+36%)	38.5%	Guide raised to $195-200M

Q3 FY2025: the base year

Revenue of $45.7M grew just 2% YoY, and that flat headline masked the real story: SaaS revenue accelerated 23% to $19.3M, a clear signal of Identity and fraud demand. GAAP net income swung to $2.4M from $0.2M a year earlier, and cash and investments rose to $175.4M, up $33.6M from the prior September. Management raised the midpoints of both FY2025 revenue and adjusted EBITDA margin guidance. Our verdict at the time was neutral: solid SaaS acceleration and raised guidance, but 2% headline growth showed the legacy drag was still heavy. Gross margin slipped to 77.7% from 78.3%, the first hint that the mix shift would cost some margin on the way up.

Q4 FY2025: a cash machine with an R&D bill

Full-year revenue hit a record $179.7M (+4%) with SaaS up 21%, and full-year free cash flow reached $54.2M, up 79% from $30.3M in FY2024, lifting cash to $196.5M. But the quarter's adjusted EBITDA margin compressed 700 basis points to 28.7% as R&D jumped 36% and G&A rose 12%, nearly halving operating income. The license and hardware businesses fell 13% in the quarter, and the Check segment's full-year revenue declined 4.6% to $89.8M. We called it a prove-the-R&D-payoff year: the SaaS transition was working, but spending discipline had slipped, and the FY2026 guide of roughly $190M revenue with 27-30% margins looked like management was keeping expectations measured.

Just the Web

Q1 FY2026: the prove-it quarter

Revenue surged 19% to $44.2M, led by Fraud & Identity up 30% to $25.5M, now about 58% of total revenue. GAAP net income swung to +$2.8M from a $4.6M loss a year earlier, and adjusted EBITDA margin jumped to 30.0% from 21.1% as non-GAAP discipline returned. The $155M convertible notes were repaid in full on February 1, 2026, removing the balance-sheet overhang entirely, and management authorized a $50M share repurchase. FY2026 guidance was raised to $187-197M revenue with 29-32% EBITDA margins. Our verdict was bullish: accelerating revenue, expanding margins, and a cleaned-up balance sheet made the valuation look attractive. The one caution was embedded in the guide: the midpoint implied only about 7% full-year growth versus the 19% just printed, signaling an expected deceleration in the back half.

Q2 and Q3 FY2026: records, then confirmation

Q2 delivered the headline numbers: record revenue of $54.8M (+6%) and a record 40.7% adjusted EBITDA margin, up from 39.0% a year earlier, with non-GAAP OpEx actually falling to $24.8M from $25.7M despite the revenue growth. Fraud & Identity grew 28% to $25.7M, nearing half of total revenue, with SaaS inside the segment up 19% to $20.0M. Guidance was raised again, to $189-198M revenue with 30-33% margins. Q3 confirmed the run: $54.0M (+18%), SaaS revenue of $26.2M (+36%), adjusted EBITDA of $20.8M at 38.5%, and a further raise to $195-200M revenue with 32-34% margins. Four quarters in, the pattern is unmistakable: every guide has gone up, Identity has grown 28-30% each quarter, and margins have stepped from 28.7% to the high 30s.

Bull vs. bear: what the recent prints support

The bull case is visible in the numbers

- **F&I reaching scale.** Fraud & Identity has grown 28-30% for four straight quarters and now runs at $105-109M guided, over 54% of revenue. The mix shift is no longer a thesis, it is the majority of the business.
- **Record margins with operating leverage.** Adjusted EBITDA hit 40.7% in Q2 and 38.5% in Q3, and non-GAAP OpEx fell YoY in Q2. The FY2026 guide has been raised to 32-34%, supporting the path toward mature B2B software margins.
- **Balance sheet de-risked.** The $155M converts were retired in February, leaving roughly $50M of net cash, and a $50M buyback authorization adds capital allocation optionality.
- **SaaS engine inside Identity.** SaaS revenue grew 36% in Q3 to $26.2M, the highest-quality revenue line in the company and the growth engine within the growth engine.
- **Check Fraud Defender consortium.** A top-five U.S. bank has joined the full consortium network. Network effects strengthen with each member, and this is the one asset competitors cannot easily replicate.

The bear case is visible too

- **Legacy Check is shrinking.** Check Verification fell 8% YoY to $29.1M in Q2, and the full-year 2025 decline was 4.6%. The cash cow funding the pivot is a melting ice cube, and lumpy term-license renewals anchor headline growth.
- **Gross margin compression.** Non-GAAP gross margin fell 270 bps to 85.0% in Q2, with SaaS delivery and Check Fraud Defender pilot costs lowering the margin ceiling. Gross margin was 79.1% GAAP in Q3, still excellent, but the direction is down.
- **Implied H2 deceleration.** The FY2026 guide midpoint of roughly 10% growth sits well below the 19% printed in Q1 and 18% in Q3. Either management is sandbagging or the back half faces real headwinds; Q4 guide of $42-47M is the test.
- **Identity pricing pressure.** The fraud and identity TAM is large precisely because it is competitive, with well-funded vendors across verification and authentication. Sustaining 28-30% growth at rising scale is a demanding bar.
- **Customer concentration.** The largest customer is 12-14% of revenue. A near-monopoly distributor can lose a big bank, and the consortium is still early.

Key themes with trend status

THEME	TREND	OUR TAKE
Fraud & Identity growth	ACCELERATING	Guided $105-109M (+19% YoY), now over 54% of revenue; mix shift accelerates consolidated growth mathematically.
Balance sheet de-risking	STABLE	$155M converts retired, ~$50M net cash, $50M buyback authorized. The overhang is gone and capital allocation looks disciplined.
Margin trajectory	ACCELERATING	Q2 printed a record 40.7% adjusted EBITDA margin; FY26 guide raised twice to 32-34%, supporting the path toward mature 30%+ FCF margins.
Legacy Check drag	DECELERATING	Check fell 8% in Q2 and FY2025 declined 4.6%. The drag is real but now funded from a smaller base as Identity takes the lead.
Check Fraud Defender	ACCELERATING	Top-five U.S. bank joined the full consortium network; network effects strengthen with each member.
Mobile Deposit franchise	STABLE	Near-monopoly with prohibitive switching costs; the high-margin cash cow funding Identity expansion.

Other KPIs we track

- **SaaS revenue:** $26.2M in Q3 (+36% YoY), the growth engine within Identity and the highest-quality line in the company.
- **Gross margin:** 79.1% GAAP / 85.5% non-GAAP, software economics intact despite 270 bps of Q2 compression.
- **LTM free cash flow:** $48.6M, roughly 25% of guided FY2026 revenue; FY2025 FCF was $54.2M (+79%).
- **Customer concentration:** largest customer 12-14% of revenue across 7,000+ institutions total.
- **Leadership:** new CRO Aaron Seyler (ex-Vonage) effective August 2026; Mark Rossi becomes Chairman October 1, 2026.

What would change our mind

Price. A decline below $15 would put meaningful upside to our $16.98 base case back on the table.

Identity re-acceleration. Fraud & Identity sustaining 20%+ growth with consortium network effects compounding would support bull-case math.

Margin proof. Adjusted EBITDA margins holding above 35% as Identity scales would validate the mature-margin thesis.

Buyback execution. The $50M authorization is about 8% of market cap; meaningful repurchases would signal management agrees the price is full.

What to watch

- **Q4 FY2026 print (~Nov 2026):** guide is $42-47M. A beat validates the raise pattern; a miss revives the deceleration debate.
- **Check Fraud Defender consortium expansion:** each new top-tier bank member compounds the network moat.
- **F&I growth sustaining 20%+:** the line between our Base and Bull cases.
- **Margin durability above 35%:** proves the Q2 record was structural, not timing.
- **Buyback execution:** pace of repurchases off the $50M authorization.

Hold: fairly valued on the base case

Our live-rate DCF values MITK at $17.21 blended, 8.5% above $15.86, with the $16.98 base case 7% above spot and the $20.78 bull case 31% above it. We like the business and the mix-shift math, but we need either a lower entry (below $15) or evidence that Identity growth is re-accelerating toward the bull case before getting constructive. The balance sheet is clean and execution is real; the price just knows it.

$17.21

BLENDED TARGET

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